The Drain of Wealth

The British exported to Britain part of India's wealth and resources for which India got no adequate economic or material return. This 'economic drain' was peculiar to British rule. Even the worst of previous Indian governments had spent the revenue they extracted from the people inside the country. Whether they spent it on irrigation canals and trunk roads, or on palaces, temples and mosques, or on wars and conquests, or even on personal luxury, it ultimately encouraged Indian trade and industry or gave employment to Indians. This was so because even foreign conquerors, like the Mughals, soon settled in India and made it their home. But the British remained perpetual foreigners. Englishmen, working and trading in India, nearly always planned to go back to Britain, and the Indian government was controlled by a foreign company of merchants and the government of Britain. The British, consequently, spent a large part of the taxes and income they derived from the Indian people not in India but in Britain, their home country.

The drain of wealth from Bengal began in 1757 when the Company's servants began to carry home immense fortunes extorted from Indian rulers, zamindars, merchants and the common people. They sent home nearly £6 million between 1758 and 1765. This amount was more than four times the total land revenue collection of the Nawab of Bengal in 1765. This amount of drain did not include the trading profits of the Company which were often no less illegally derived. In 1765 the Company acquired the *Diwani* of Bengal and thus gained control over its revenues. The Company, even more than its servants, soon directly organised the drain. It began to purchase Indian goods out of the revenue of Bengal and to export them. These purchases were known as 'Investments'. Thus, through 'Investments', Bengal's revenue was sent to England. For example, from 1765 to 1770, the Company sent out nearly £4 million worth of goods or about 33 per cent of the net revenue of Bengal. By the end of the eighteenth century, the drain constituted nearly 9 per cent of India's national income. The actual drain was even more, as a large part of the salaries and other incomes of English